Property Due Diligence and Operating Scenario Review

Make the operating assumptions visible before a property decision.

PROPERTY ANALYSIS

Working portfolio demo

OPERATING SCENARIO

Fictional example



Revenue **$1.20m**

Expenses **$840k**

Op. income **$360k**

DEBT SERVICE COVERAGE

1.50x

RENOVATION RESERVE GAP

$50,000

Simplified operating screen, not a valuation or recommendation

THE PROBLEM

A seller packet can look complete while hiding an operating expense or renovation funding gap. A reviewer needs traceable inputs and a short list of questions to resolve.

HOW THE SAMPLE WORKS

The sample separates revenue, operating expenses, debt service and renovation reserves. It returns calculated metrics and explicit exception flags instead of a one-number investment score.

WHAT YOU CAN INSPECT

$1.20 million revenue less $840,000 operating expenses gives $360,000 simplified operating income. Dividing by $240,000 debt service gives 1.50x coverage. A $150,000 renovation budget against $100,000 reserves leaves a $50,000 gap.

A PRACTICAL FIRST PROJECT

A practical first project is organizing one property packet into an assumption register and exception report for a qualified reviewer.

Educational operating screen only. Expense definitions must be reconciled; valuation, taxes, financing advice and investment recommendations are outside this sample.